TATA

Sanction Letter

Date : 11-06-2025

Ref No. : CF/CF/CHE/51281

Application Number : 51281

DYNAMIC AIR ENGINEERING INDIA PVT LTD
No 4 Boopathy Nagar,
Industrial Estate, Keelkattalai, Chennai,
Tamil Nadu - 600117

Kind Attention : K KARTHIKEYAN (Director), K KARTHIKEYAN (Director)

Facility : Channel Finance

Dear Sir,

This is with reference to our sanction letter dated 13/06/2024 bearing reference no. CF/CF/CHE/29470 issued for granting Channel Finance to you.

Tata Capital Limited (TCL) takes the pleasure to informing you that based on your request TCL has renewed and modified a Channel Finance facility/facilities to you on the following terms and conditions.

This in-principle sanction is subject to fulfillment of the terms and conditions entailed herein in entirety to the complete satisfaction of TCL.

TERMS AND CONDITIONS

Lender	Tata Capital Limited			
Borrower	DYNAMIC AIR ENGINEERING INDIA PVT LTD			
Facility amount	Rs.2,00,00,000.00 (Rupees Two Crore Only)			
Facility Details	Nature of Facility	Limit	Rate of Interest / Interest on Credit period(p.a.)	Tenor
	Channel Finance	Rs.20000000	10.70%	12 Months

Facility Name	Channel Finance
Earlier Loan Amount	Rs.2,00,00,000.00 (Rupees Two Crore Only)
Total Facility Amount	Rs.2,00,00,000.00 (Rupees Two Crore Only)
Scheme	Digital CF
Tenure	12 Months from the date of sanction
Renewal	On or before 12 months from the date of sanction on sole discretion of TCL (yearly renewal), In cases of non renewal limit will be blocked
Tenure of Tranche	120 days from the date of disbursement.
Interest Type	Floating

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

K. Guija.

Managing Director

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Rate of Interest	ROI is equal to STPLR plus 1.10% i.e. (Effective ROI %) 10.70 % p.a. floating interest rate. Short Term Prime Lending Rate ("STPLR") as on date is 9.6 %. p.a. Rate of Interest payable to TCL would change based on the changes in STPLR as announced by TCL from time to time.
Upfront Fee(Non - Refundable)	Rs.55,000.00 + Applicable GST , to be collected upfront from Borrower.
Distributors/Suppliers /Manufacturers	STEEL AUTHORITY OF INDIA LTD Internal Credit Limit-Facility amount Category Of Goods: CF; Credit Limit: 2,00,00,000.00; Peak Limit: 0.00 - The facility is made available for the company as whole, without reference/ restriction to any particular division/unit of the company. - TCL reserves the right to fix the such Internal limit within overall limit of Total Facility Amount at its sole discretion and on such terms and condition as TCL deemed fit and proper.
End Use of Loan	WORKING CAPITAL
Payment Terms - Interest	Monthly
Payments Under Facility	The amount requested under the facility may be disbursed by TCL to the company i.e. STEEL AUTHORITY OF INDIA LTD on sole discretion of TCL. Amount so paid shall be deemed to have been disbursed under the facility
Repayment Schedule	Interest to be paid on monthly rest basis and principal to be repaid within 120 days of disbursement of each tranche. Each disbursement will be considered as a separate tranche and the repayment of principal amount and interest thereon for each tranche shall be as per the respective repayment schedules as may be communicated from time to time.
Disbursement Draw down	As per request after acceptance of the Sanction Letter and execution of Documents stipulated below and on compliance of such sanction terms prescribed. The total exposure under the credit facility granted by TCL shall not exceed overall Credit Limit at any point of time during the tenure of the facility or renewal of Credit Limit, The principal outstanding amounts under the credit facilities (existing and renewed if any) and /or undrawn portion shall not exceed the overall Credit Limit. The Borrower may drawdown the Facility either in one or more tranches such that the principal outstanding at any point of time does not exceed the overall Credit Limit. Upon repayment of amounts drawn under any of the tranches, further drawals shall be subject

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Managing Director

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Disbursement Draw down	to availability under the overall Credit Limit and other terms of the facility agreement.
Penal Charges	**1. Default in payment of interest and/or principal amounts, Below charges on the defaulted amount** **i)4% p.a. for overdue days 1-30** **ii)8% p.a. for overdue days 31-60** **iii)12% p.a. for overdue days 61-90** **iv)24% p.a. for overdue days greater than 90** **2. Dishonour Charges: Rs. 670/- (Rupees Six Hundred and Seventy only) for Dishonour of every Cheque/ Payment Instrument/ ECS submitted to TCL.** **3. Non-creation/perfection of security: @ 2.00% on the outstanding principal amount will be charged for the period of delay in respect of delayed/nonsubmission of security/collateral related documents and non-perfection of security.** **(GST, other government taxes and levies as applicable, will be payable on all charges).**
Facility foreclosure charges	**4% of the Sanction Amount + Applicable GST to be paid if the facility is closed prematurely (before expiry of Tenure of the sanction).** **A prior notice of 30 business days to be provided to TCL for any such prepayment.**
Guarantee	Irrevocable and unconditional Personal guarantee of G GIRIJA , K KARTHIKEYAN
Security	Unsecured

Common Terms and Conditions

Sanction terms	- Recommendation from OEM – SAIL. - Disbursal of facility will be made directly to the OEM - SAIL - Intimation to be sent to exiting banker. - The company shall undertake to deduct stocks purchased out of TCFSL limit for the purpose of calculating Drawing power from existing banker. - An undertaking that ATNW of the company shall be minimum Rs. 12.40 Crores as on 31.3.24 during the tenor of TCL facility. - Cibil overdue proof to be documented.
Stamp duty	As applicable and will be borne by the Borrower
Validity	The sanction is valid for a period of 90 days from the date of this offer letter.
Cost and Expenses	All costs, charges and expenses in connection with or relating to the Credit Facility (including but not limited to costs of investigation of title, legal fees, filing / submission of any information /record to any agency pursuant to application law, directives, regulations etc. including Information Utility (IU), professional charges, and stamp duty) shall be borne

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Cost and Expenses	and paid by the Borrower including Documentation charges. All Costs or Expenses to be collected from the Borrower along with applicable tax.
Facility Undertaking	Borrower hereby agrees and undertakes that: -That in the event of any account being reported into SMA category by any of the lender to RBI , borrower shall repay the entire dues payable to TCL. -The Borrower agrees that TCL shall have the right to call back the facility and/or increase the applicable Rate of interest (ROI) by 2.00% over and above the existing rate in the event of downgrading of credit rating (by any credit rating agency) by two notches from the level held by the Borrower at the time of sanction. Where an external credit rating is not available, the internal rating assigned by the Lender shall be considered for this purpose.
Terms and Conditions	- The Borrower hereby agrees and confirms that the sanction of the Facility will be interalia governed by the Terms and Conditions mentioned in Loan agreement hereto in addition to the terms contained in this sanction letter. - The Borrower further agrees and confirms that all intraday drawals under this Facility, that is, amounts disbursed on any day and which are fully repaid on the same day and the outstanding balance is zero as at the end of the day, then such withdrawals shall attract interest for a minimum period of one day at the rate as specified in sanction letter.
Schedule of other Charge	Stock Audit charges: Rs.5000/-. Documentation charges: Rs5000/-. ROC and CERSAI filling: Nil (GST, other government taxes and levies as applicable, will be payable on all fees and charges in this Sanction Letter).
Data required for renewal of credit limits	On or before the expiry of credit limit
Audited/Unaudited financial statements	Provisional: within three months from the close of the accounting year Audited: within six months from the close of the accounting year Bank Borrowing : Outstanding bank borrowings on six monthly basis along with above
Disbursement Documents	- Sanction letter duly accepted by Borrower and Guarantors - Specific Agreement to be executed by Borrower, Guarantors - Authorisation for Borrower to avail the Credit Facility - Undated cheque of full facility value(if applicable) - NACH mandate - KYC documents, ITR & Financials of Borrower - KYC documents of Authorised signatory - Letter to existing Bankers of Borrower intimating of the facility extended by TCL, Acknowledged copy of letter/ POD to be shared with TCL - Udyam Certificate

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Disbursement Documents	Documents from Guarantors (Individual/Personal) - Personal Guarantee documents to be executed. - Signature Verification - KYC documents and ITRs - Notarized net worth statements/ CA certified net worth statement accompanied by as on date self-declaration on stamp paper Any other documents as prescribed by Tata Capital Limited.
Post Disbursement Documents	- The borrower shall maintain adequate books and records which should correctly reflect their financial position, End use verification and operations and it should submit to Tata Capital Limited at regular intervals such statements as may be prescribed by Tata Capital Limited in terms of the RBs instructions issued from time to time. - The borrower shall provide a certificate from a Chartered Accountant as well as relevant Bank Account statements, within 30 calendar days from the date of disbursal. Where the facility is availed in multiple tranches, the aforesaid documents shall be provided tranche wise. The Borrower agrees to furnish such other documents as may be requested by the Lender, from time to time, for verification of end use.
Schedule of other Charges	
Periodical Review Requirements	The account to be reviewed and Renewed on half yearly/ Yearly basis as per terms of the agreement, For Renewal of accounts Borrower shall furnish. Mention documents to be dispatched at Tata Capital Limited, I - Think Techno Campus, Building A, 4th Floor , Off Pokharan Road 2, Subhash Nagar, Near Yantra Park , Thane (w) -400607. addressed to Credit Monitoring team, SME & Corporate Finance. Non compliance/ Submission of review requirement may result blocking/ freezing of limits.
General Covenants	a) All legal and incidental expense including valuation /legal search /ROC search /Stamp Duty and Out of Pocket expenses in connection with proposed credit facility will have to be borne by the Borrower. The Borrower shall deliver up front cheque/s towards the same. b) Disbursement of loan shall be subject to the execution of necessary documents completion of all requirements/formalities which forms part of the overall sanction communication from Tata Capital Limited. c) The Borrower shall furnish to TCL whenever required by TCL full and correct particulars/statements of all the assets and shall allow TCL or its authorized agent to take inspection without necessity of any notice, of such assets and of all records and shall provide such evidence as TCL may require as to the cost and value thereof. d) The Dealer/Borrower undertakes to provide a certificate from a Chartered Accountant and Bank Account statements, within 30 days from the date of each disbursal. The Dealer/Borrower shall furnish such other documents as may be required by the Lender, from time to time. e) In the event any amount is not paid when due, the account will be flagged as overdue

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Managing Director

General Covenants	as part of day-end process as SMA or NPA (as the case may be) in accordance with the extent RBI Circular. Examples of classification of an account as SMA/ NPA categories are provided on our website www.tatacapital.com at the link https://bit.ly/3mEzTjq . You confirm that you have read, understood and accepted the same.

The aforesaid facility/sanction are subject to the terms and condition set out in loan agreement or master terms and conditions and specific agreement to be executed by yourselves and shall be governed by the terms and conditions as contained in the loan agreement or master terms and conditions and specific agreement as well this sanction letter.Any change/addition in terms and condition of sanction shall be communicated through separate addendum Sanction letter.

"This Letter of sanction does not create any binding obligations on us to disburse funds till the execution of appropriate loan & security documents and till such time same may be cancelled without any prior notice."

This sanction shall stand revoked and cancelled without any notice ,if there are material changes in the Borrower's financial performance, Any material facts concerning the Borrower's profits or its ability to make payments under this loan agreement or any relevant aspects of its request for loan facility are withheld, suppressed, concealed, or are found to be incorrect or untrue.

The Registered Master Terms and Conditions for the credit facility are available on our website at the link below: https://www.tatacapital.com/mastertc/commercial.html.

We look forward to a mutually beneficial and long-term relationship, For any clarification or more information, you may like to contact us by e-mail at contactcommercialfinance@tatacapital.com.

This Letter of sanction hereby supersedes All Sanction letter & terms if any, issued / agreed for this facility.

Yours Truly,

For Tata Capital Limited

Authorized Signatory

I/we accept all the terms and conditions which have been read and understood by me/us.

Accepted

DYNAMIC AIR ENGINEERING INDIA PVT LTD

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Managing Director

Borrower

Accepted

K. Gunja.

Accepted

TATA

G GIRIJA	K KARTHIKEYAN
K. Girija.	For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.
Guarantor	Guarantor
	Managing Director

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Key Facts Statement

Part 1 (Interest rate and fees/charges)

1	**Loan proposal/ account No.**	53455_June 11,2025	**Type of Loan**	Channel Finance
2	**Sanctioned Loan amount (in Rupees)**		Rs. 2,00,00,000.00 (Rupees Two Crore Only)	
3	**Disbursal schedule**		(i) 100% Upfront or (ii) Stage-wise, Refer to clause 2 of the Master Terms and Conditions read with the Disbursement Request	
4	**Loan term (year/months/days)**		12 Months	

5 Instalment details

Type of instalments	Number of EPIs	EPI (Rs.)	Commencement of repayment, post sanction
Monthly Basis	12	As per Illustrative Repayment Schedule	Basis Disbursement

6	**Interest rate (%) (p.a.) and type (fixed or floating or hybrid)**	10.7 % and Floating

7 Additional Information in case of Floating rate of interest

Reference benchmark	Benchmark rate (%) (B)	Spread (%) (S)	Final rate (%) (p.a.) R = B + S	Reset periodicity (Months)		Impact of change in the reference benchmark (for 25 bps change in 'R', change in:)	
				B	S	EPI (Rs.)	No. of EPIs
STPLR	9.6 %	1.1 %	10.7 %	Quarterly	NA	NA	YES

8 Fee/ Charges

		Payable to the RE (A)		Payable to a third party through RE (B)	
		One-time/ Recurring	Amount (in Rs.) or Percentage (%) as applicable	One-time/Recurring	Amount (in Rs.) or Percentage (%) as applicable5
(i)	Processing fees	One Time	55,000.00	NA	NA
(ii)	Insurance charges	NA	NA	NA	NA
(iii)	Valuation fees	One Time	0.00	NA	NA

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

K. Ganja.

Managing Director

(iv)	Any other (please specify)	One Time	10,000.00	NA	NA
9	**Annual Percentage Rate (APR)**		11.04 %		
10	**Details of Contingent Charges (in Rs. or %, as applicable)**				
(i)	**Penal charges**		**1. Default in payment of interest and/or principal amounts, Below charges on the defaulted amount i)4% p.a. for overdue days 1-30 ii)8% p.a. for overdue days 31-60 iii)12% p.a. for overdue days 61-90 iv)24% p.a. for overdue days greater than 90 2. Dishonour Charges: Rs. 670/- (Rupees Six Hundred and Seventy only) for Dishonour of every Cheque/ Payment Instrument/ ECS submitted to TCL. 3. Non-creation/perfection of security: @ 2.00% on the outstanding principal amount will be charged for the period of delay in respect of delayed/nonsubmission of security/collateral related documents and non-perfection of security. (GST, other government taxes and levies as applicable, will be payable on all charges).**		
(ii)	**Other penal charges, if any**		**NA**		
(iii)	Foreclosure charges, if applicable		4% of the Sanction Amount + Applicable GST to be paid if the facility is closed prematurely (before expiry of Tenure of the sanction). A prior notice of 30 business days to be provided to TCL for any such prepayment.		
(iv)	Charges for switching of loans from floating to fixed rate and vice versa		NA		
(v)	Any other charges - In Rupees (please specify)				
	TSR fees / Title search fees		0.00		
	ROC and CERSAI filling		0.00		
	Stock Audit charges		5,000.00		
	Documentation charges		5,000.00		
	NOTE		(GST, other government taxes and levies as applicable, will be payable on all fees mentioned in this Agreement).		

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Part 2 (Other qualitative information)

1	Clause of Loan agreement relating to engagement of recovery agents	Please refer to the clause no. 19(f) under the heading "Miscellaneous Terms" of the loan agreement reproduced as follows: The Lender may utilize the services of recovery/ collection agents for collection of amounts in relation to the Facility
2	Clause of Loan agreement which details grievance redressal mechanism	Please refer to the clause no. 19(g) under the heading "Miscellaneous Terms" of the loan agreement reproduced as follows: Grievance redressal mechanism is provided as follows: a. Level 1: Write to contactcommercialfinance@tatacapital.com b. Level 2: In case not satisfied with resolution provided under Level 1, write to crocorporate@tatacapital.com c. Level 3: If case not satisfied with the resolution provided under Level 1 / Level 2, write to ccro@tatacapital.com d. Level 4: In case your complaint has not been addressed to your satisfaction after following all the above steps, you can approach banking RBI Ombudsman.
3	Phone number and email id of the nodal grievance redressal officer	Name: Farzeen Agboatwalla Phone number: 1860 210 7477 Email ID: crocorporate@tatacapital.com
4	Whether the loan is, or in future maybe, subject to transfer to other REs or securitisation (Yes/ No)	Yes
5	In case of lending under collaborative lending arrangements (e.g., co-lending/ outsourcing), following additional details may be furnished:	

Name of the originating RE, along with its funding proportion	Name of the partner RE along with its proportion of funding	Blended rate of interest
NA	NA	NA

6	In case of digital loans, following specific disclosures may be furnished:	
(i)	Cooling off/look-up period, in terms of RE's board approved policy, during which borrower shall not be charged any penalty on prepayment of loan	NA
(ii)	Details of LSP acting as recovery agent and authorized to approach the borrower	NA

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Note:

- The amounts are net of taxes such as GST, etc.
- GST, other Government taxes and levies as applicable, will be payable on all fees mentioned in this document.
- Broken Period Interest amount and 1st EMI date depend on the Disbursement Date and the final figures would be mentioned in the Welcome Letter and Repayment Schedule.
- Net Disbursed Amount may change if there is a difference in agreement execution date and actual loan disbursal date on account of change in Broken Period Interest or any changes opted post execution of the Agreement.
- For the purpose of APR calculation and Repayment Schedule, it has been assumed that the credit facility has been disbursed and fully drawn down on first day of the month in which the credit facility has been sanctioned. The actual interest will be computed from the date of disbursement based on the extent of utilisation of the credit facility.
- For the APR, please refer the calculation of APR given below.
- Any revision in charges shall be updated by the Lender on its website (www.tatacapital.com) or otherwise intimated to the Borrower.
- In case of floating rate of interest, the rate of interest may be subject to change depending upon the increase or decrease in the Benchmark rate.
- The Repayment Schedule as per Annex B is basis the figures and calculations as on June 11,2025 and may vary based on the actual amount disbursed as per the Disbursement Request.
- Final Repayment Schedule shall be a part of Welcome Kit.
- I/We agree and acknowledge that the Key Fact Statement(KFS), Computation of APR and Repayment Schedule shall be integral part of the Sanction Letter and that the date and validity period of KFS shall be deemed to be the same as that of the Sanction Letter".
- I /We confirm that I/We have thoroughly read and understood the Key Facts Statement along with Annex A and B.

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Managing Director

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Illustration for computation of Annual Percentage Rate (APR)(Annex A)

Sr. No.	Parameter	Details
1	Sanctioned Loan amount (in Rupees)	Rs. 2,00,00,000.00
2	Loan Term (in years/ months/ days)	12 Months
a)	No. of instalments for payment of principal, in case of non-equated periodic loans	As per Illustrative Repayment Schedule
b)	Type of EPI	Monthly
	Amount of each EPI (in Rupees) and	As per Illustrative Repayment Schedule
	Nos. of EPIs	12
c)	No. of instalments for payment of capitalised interest, if any	12
d)	Commencement of repayments, post sanction	Basis Disbursement
3	Interest rate type (fixed or floating or hybrid)	Floating
4	Rate of Interest (p.a.)	10.7 %
5	Total Interest Amount to be charged during the entire tenor of the loan as per the rate prevailing on sanction date (in Rupees) -Gross	Rs. 2140000
6	Fee/ Charges payable (in Rupees)	65,000.00
A	Payable to the RE	65,000.00
B	Payable to third-party routed through RE	NA
7	Net disbursed amount (in Rupees)	2,00,00,000.00
8	Total amount to be paid by the borrower (sum of 1 and 5) (in Rupees)	2,21,40,000.00
9	Annual Percentage rate- Effective annualized interest rate (in percentage)	11.04
10	Schedule of disbursement as per terms and conditions	(i) 100% Upfront Or (ii) Stage-wise, Refer to Clause 2 of the Master Terms and Conditions read with the Disbursement Request
11	Due date of payment of instalment and interest	10th of every month

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Managing Director

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Illustration for computation of Annual Percentage Rate (APR)(Annex A)

Sr. No.	Parameter	Details
1	Sanctioned Loan amount (in Rupees)	Rs. 2,00,00,000.00
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b)	Type of EPI	Monthly
	Amount of each EPI (in Rupees) and	As per Illustrative Repayment Schedule
	Nos. of EPIs	12
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6	Fee/ Charges payable (in Rupees)	65,000.00
A	Payable to the RE	65,000.00
B	Payable to third-party routed through RE	NA
7	Net disbursed amount (in Rupees)	2,00,00,000.00
8	Total amount to be paid by the borrower (sum of 1 and 5) (in Rupees)	2,21,40,000.00
9	Annual Percentage rate- Effective annualized interest rate (in percentage)	11.04
10.	Schedule of disbursement as per terms and conditions	(i) 100% Upfront Or (ii) Stage-wise, Refer to Clause 2 of the Master Terms and Conditions read with the Disbursement Request
11	Due date of payment of instalment and interest	10th of every month

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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G K. Gunja.

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Illustrative Repayment Schedule (Annex B)

Instalment No	Outstanding Principal (Rs.)	Principal (Rs.)	Interest (Rs.)	Instalment (Rs.)
1	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
2	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
3	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
4	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
5	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
6	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
7	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
8	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
9	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
10	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
11	2,00,00,000.00	0.00	1,78,333.33	1,78,333.33
12	2,00,00,000.00	2,00,00,000.00	1,78,333.33	2,01,78,333.33

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Managing Director